

Though every industry has a different cost structure, as a 'rule of thumb', more than 50 percent gross profit margin is a healthy margin. Some companies even enjoy a 70-80 percent gross profit margin in cases where they have strong brands, a good market presence, a good scale of sales, etc. However, before drawing conclusions, indirect costs, must also be understood. We will do that in subsequent sections.



*more than 50
percent gross
profit margin*

Here, we need to understand the gross profit margin by knowing:

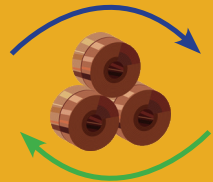
- ◇ The changes in gross profit margin
- ◇ The trajectory of gross profit margin
- ◇ The reasons behind change in gross profit margin. Is it due to the cost change of raw materials, is the company enjoying economies of scale, or has a lot of pricing power, why is the gross profit changing?

A high gross profit margin shows competitive advantage. For example- a company with a 70 percent gross profit margin has a great competitive advantage over another company with a gross profit margin of 40 percent, provided they are in same industry. Some industries as well have very high gross margins. However, these again need to be understood along with indirect costs.

Next, we need to ask other questions in order to understand the Cost of goods sold-

2.Cyclicalty in prices of raw materials and final products

We need to understand if the company operates in an industry where the prices of raw materials and final products are cyclical. These directly impact the gross margins for companies.



EXAMPLE

The price of crude oil can be 50 dollars this year, whereas two years down the line, it can be 150 dollars. No matter how strong the brand is, the gross profit will go down when crude oil prices increase if the company uses crude oil products as raw materials. Thus, depending on the raw materials and the final products, the company's gross profit margin can vary.

